Dolph

EQUITY RESEARCH NOTE

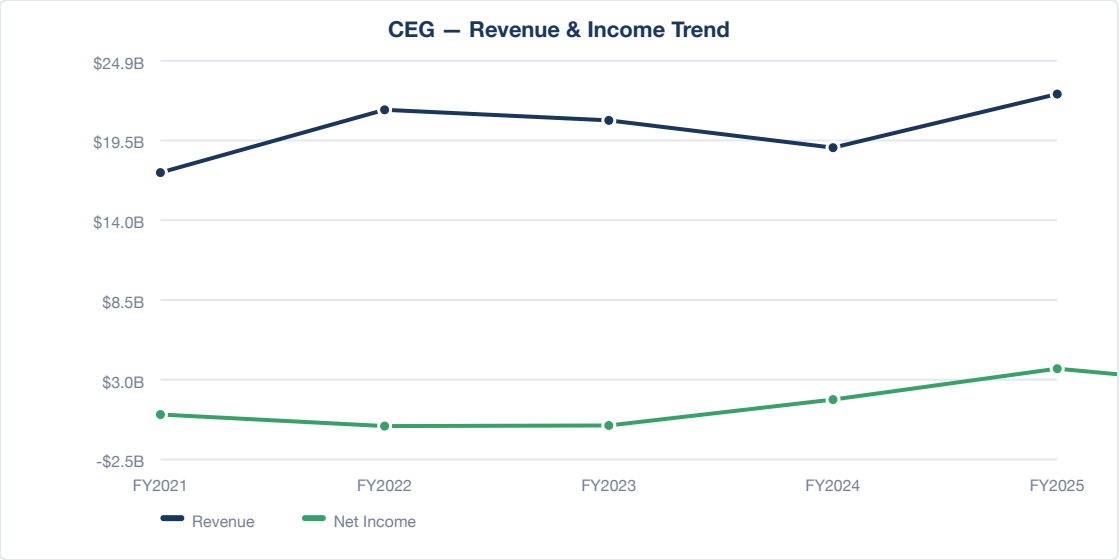
CEG

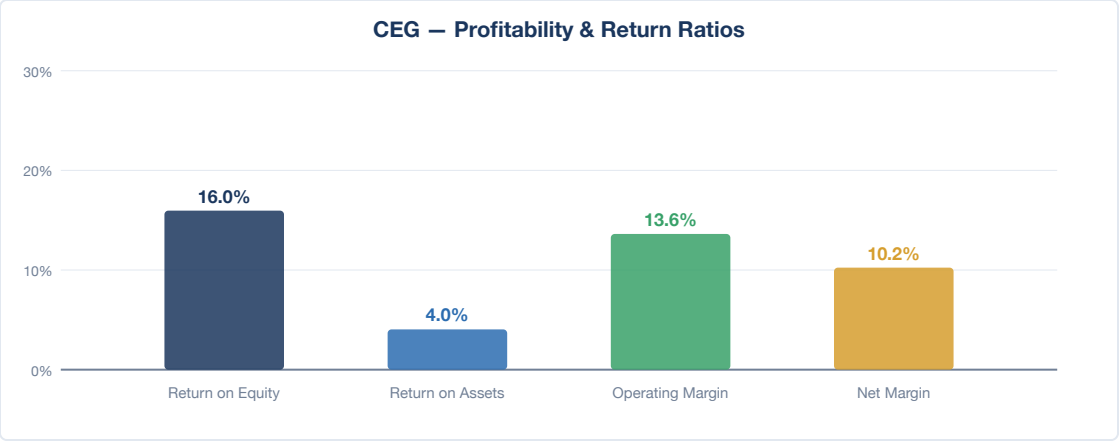
March 4, 2026

Executive Summary

Constellation Energy reported revenue of $22.7 billion for the latest period, reflecting a 19.5% year-over-year increase, while net income declined by 38.1% to $2.3 billion. The company maintains a return on equity of 16.0%, indicating efficient use of shareholder capital, and has a current ratio of 1.53x, suggesting adequate liquidity. However, its debt-to-equity ratio of 2.92x signals high leverage, which could pose financial risks. Operating margins stand at 13.6%, with a net margin of 10.2%, and free cash flow is reported at $1.29 billion.

Visual Analysis





Key Metrics Dashboard

METRIC	CURRENT VALUE	PRIOR PERIOD	CHANGE (%)
Debt-to-Equity	2.92x	—	—
Return on Equity	16.0%	—	—
Return on Assets	4.0%	—	—
Current Ratio	1.53x	—	—
Quick Ratio	1.31x	—	—
Operating Margin	13.6%	—	—
Net Margin	10.2%	—	—
Earnings Per Share (Diluted)	7.40x	—	—
Book Value Per Share	46.53x	—	—
Free Cash Flow	1288000000.00x	—	—
Revenue	$22.7B	$19.0B	19.5%
Net Income	$2.3B	$3.7B	-38.1%
Operating Income	$3.1B	$4.4B	-29.1%
Total Assets	$57.2B	$52.9B	8.2%
Total Liabilities	$42.4B	$39.4B	7.6%
Stockholders' Equity	$14.5B	$13.2B	10.3%
Operating Cash Flow	$4.2B	-$2.5B	272.0%
Capital Expenditures	$2.9B	$2.6B	15.0%

Trend Analysis

Constellation Energy's revenue increased from $17.3 billion at the end of 2021 to $22.7 billion at the end of 2025, representing a compound annual growth rate (CAGR) of 7.0%. The most recent year saw a significant rise of 19.5% compared to 2024, when revenue was $19.0 billion. This upward trend indicates a consistent expansion in

the company's sales base, which is notable given the fluctuations in prior years and suggests improved market positioning or increased demand within its operational segments.

Net Income and Operating Income Trends

Net income demonstrated a substantial turnaround, rising from a loss of $205 million in 2021 to a profit of $2.3 billion in 2025, with a CAGR of 31.5%. The most recent year experienced a decline of 38.1% from $3.7 billion in 2024, yet the overall trajectory reflects a significant recovery from negative earnings. Operating income followed a similar pattern, increasing from a negative $346 million in 2021 to $3.1 billion in 2025, with a CAGR of 64.5%, though it declined by 29.1% in 2025 from $4.4 billion in 2024. These figures highlight a period of rapid earnings growth following prior losses, although the recent decrease warrants monitoring of profitability sustainability.

Asset and Equity Growth

Total assets grew from $48.1 billion at the end of 2021 to $57.2 billion at the close of 2025, reflecting a CAGR of 4.5%. Concurrently, stockholders' equity increased from $11.2 billion to $14.5 billion over the same period, with a CAGR of 6.7%. The growth in assets and equity indicates ongoing capital accumulation and asset base expansion, supporting the company's capacity for future investments and operational resilience.

Cash Flow and Capital Expenditure Dynamics

Operating cash flow experienced a dramatic turnaround, rising from negative $1.3 billion in 2021 to positive $4.2 billion in 2025, with a CAGR of 48.6%. This shift underscores a significant improvement in cash generation efficiency. Capital expenditures increased modestly from $1.3 billion to $2.9 billion, at an 11.0% CAGR, suggesting sustained investment activity aligned with asset growth and operational needs. The positive cash flow in 2025, coupled with increased capex, indicates a strategic reinvestment phase aimed at supporting future growth.

Risk Factors

1. The company's high leverage, evidenced by a debt-to-equity ratio of 2.92, increases its vulnerability to interest rate fluctuations and refinancing risks, potentially impacting financial stability and liquidity.
2. Despite a current ratio of 1.53 and a quick ratio of 1.31, the significant total liabilities of $42.4 billion, representing 73.9% of total assets, pose a risk of insolvency if cash flows deteriorate or if debt servicing obligations become more burdensome.
3. The recent decline in net income by 38.1% to $2.3 billion and operating income by 29.1% to $3.1 billion, coupled with negative net income in prior years, suggests potential volatility in profitability and cash flow generation, which could impair the company's ability to meet its financial commitments.

4. The company's substantial capital expenditures of $2.9 billion, representing a 15.0% increase year-over-year, may strain liquidity and cash flow, especially if revenue growth does not continue at historical rates or if operational efficiencies are not maintained.
5. The volatility in operating cash flow, which surged from negative $2.5 billion in 2024 to positive $4.2 billion in 2025, indicates potential variability in cash generation, which could affect the company's capacity to fund operations and service debt without additional external financing.

Financial Statements

Income Statement

METRIC	FY2025	FY2024	FY2023
Revenue	$22.7B	$19.0B	$20.8B
Operating Expenses	$22.4B	$19.3B	$23.3B
Operating Income	$3.1B	$4.4B	$1.6B
Net Income	$2.3B	$3.7B	$1.6B
EPS (Basic)	$7	$12	$5
EPS (Diluted)	$7	$12	$5
Shares Outstanding	$312.0M	$313.0M	$317.0M

Balance Sheet

METRIC	FY2025	FY2024	FY2023
Total Assets	$57.2B	$52.9B	$50.8B
Total Liabilities	$42.4B	$39.4B	$39.5B
Stockholders' Equity	$14.5B	$13.2B	$10.9B
Current Assets	$12.1B	$10.8B	$8.3B
Current Liabilities	$7.9B	$6.8B	$6.3B
Cash & Equivalents	$3.6B	$3.0B	$368.0M
Total Debt	$7.4B	$8.5B	$7.7B
Short-Term Debt	$1.6B	$0	$1.6B
Inventory	$1.7B	$1.6B	—
Accounts Receivable	$4.3B	$3.1B	$1.9B
Goodwill	$420.0M	$420.0M	$425.0M

Cash Flow Statement

METRIC	FY2025	FY2024	FY2023
Operating Cash Flow	$4.2B	-$2.5B	-$5.3B
Capital Expenditures	$2.9B	$2.6B	$2.4B
Investing Cash Flow	-$3.2B	$7.4B	$3.0B
Financing Cash Flow	-$420.0M	-$2.3B	$2.2B
Dividends Paid	$486.0M	$444.0M	$366.0M
Share Repurchases	$400.0M	$999.0M	$992.0M

Analyst Notes

Constellation Energy Corporation's financial data depict a company experiencing revenue growth, with a compound annual growth rate (CAGR) of 7.0%, reaching $22.7 billion in 2025 from $17.3 billion in 2021,

supported by a significant increase in operating cash flow, which grew at a CAGR of 48.6% to $4.2 billion. Despite this revenue expansion, net income declined by 38.1% year-over-year to $2.3 billion, following a pattern of negative net income in 2021 and 2022, but a return to profitability in 2023 and 2024. The company's operating income improved markedly, with a CAGR of 64.5%, reaching $3.1 billion in 2025, indicating operational efficiency gains. However, high leverage remains a concern, with a debt-to-equity ratio of 2.92, and total liabilities increasing to $42.4 billion, which is 2.92 times the stockholders' equity of $14.5 billion. The company's liquidity metrics, with a current ratio of 1.53 and quick ratio of 1.31, suggest adequate short-term liquidity, while a return on equity of 16.0% reflects efficient use of shareholder capital.

Further investigation should focus on the sustainability of the company's high leverage, given the debt-to-equity ratio of 2.92, and its implications for financial flexibility, especially as net income has shown volatility. The decline in net income despite revenue growth warrants analysis of margin pressures, as net margin remains at 10.2%, and operating margin is at 13.6%. Additionally, the sharp improvement in operating cash flow contrasts with prior negative cash flows, raising questions about the drivers behind this turnaround and the stability of cash generation. Analysts should also examine the composition and risk profile of the $2.9 billion in capital expenditures, particularly in light of the company's recent asset growth and the need to sustain operational efficiency.

Looking ahead, the company's ability to maintain its revenue growth trajectory and improve profitability margins will be critical. The steady increase in total assets at an 8.2% CAGR to $57.2 billion and the 10.3% growth in stockholders' equity suggest ongoing expansion, but the high leverage indicates potential vulnerability to interest rate fluctuations or credit market shifts. The significant rise in operating cash flow in 2025 provides a positive signal, yet the company’s future performance will depend on its capacity to manage debt levels prudently while continuing to generate stable cash flows and controlling capital expenditures.

Data Sources

- CEG 10-K (2026-02-24)

All data sourced from SEC EDGAR. This analysis is generated from public SEC filings and is not financial advice.

Data sourced exclusively from SEC EDGAR public filings.
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LLM calls: 4 | Data points: 46 | Generated in 16.9s